Personal Auto Underwriting Guidelines

Meridian Mutual Insurance Company — Personal Auto Underwriting Guidelines

Document ID: MMIC-UW-GUIDE-2025

Audience: Underwriters and agency staff writing new Personal Auto business

Effective: June 1, 2025

1. Purpose

These guidelines describe how Meridian Mutual evaluates and prices Personal Auto risks in Ohio. They are provided to claims and adjudication staff for context — a claim should never be denied or approved based on underwriting eligibility after the fact, since coverage is determined by the policy in force at the time of loss, not by whether the risk would still be accepted today.

2. Eligible Risks

A risk is eligible for a standard Personal Auto policy when all of the following are true:

- The named insured has held a valid driver's license for at least 3 years, or is a newly licensed household member of an existing policyholder.
- The vehicle is used primarily for personal, non-commercial purposes.
- No household member has more than two at-fault accidents or moving violations in the preceding 3 years.
- The vehicle is garaged in a state where Meridian Mutual is licensed to write Personal Auto business.

3. Rating Factors

Premium is determined by a combination of factors, including:

- Vehicle year, make, model, and safety rating.
- Garaging territory (by ZIP code, reflecting historical claim frequency and severity in that area).

- Driver age, years licensed, and violation/accident history.
- Selected coverage parts, limits, and deductibles.
- Prior insurance history and any lapse in coverage.

Rating factors are used solely to determine premium at issuance or renewal. They play no role in claims adjudication, which depends only on the coverage, limits, exclusions, and facts of loss described in the Policy Wording, Declarations page, and claim record.

4. Endorsement Eligibility

Certain endorsements require specific underwriting approval before being attached:

- The **Ride-share/TNC Endorsement (END-RS-01)** requires the applicant to disclose their transportation network company affiliation and estimated weekly driving hours; it is not available for vehicles used for ride-share more than 20 hours per week, which instead require a commercial livery policy outside this corpus's scope.
- The **Custom Equipment Endorsement (END-CE-01)** requires an itemized list and appraisal of custom equipment exceeding $1,000 in value.
- The **Named Non-Owner Household Driver Endorsement (END-NN-01)** requires the non-owner driver to be a resident of the named insured's household and to hold a valid license.

5. Mid-Term Changes

A policyholder may add or remove drivers, vehicles, coverage parts, or endorsements mid-term. Any such change takes effect on the date shown on the resulting amended Declarations page, not retroactively. A loss occurring before a mid-term change takes effect is adjudicated under the coverage, limits, and endorsements in force at the time of the loss.

6. Renewal and Form Version Transitions

When a policy renews, it renews onto the Policy Form edition current at the renewal date. A policy with a renewal date on or after June 1, 2025 renews onto PAP-2025-STD; a policy renewing before that date remains on PAP-2024-STD until its next renewal. This is the same rule the Claims Adjudication Guidelines describe from the claims side (Step 1): the governing form version is always determined by the date of loss relative to the policy's effective and renewal dates, never by the current calendar date.

7. Non-Renewal and Cancellation

Meridian Mutual may non-renew a policy at the end of its term for underwriting reasons (e.g., excessive claims frequency) with at least 30 days' written notice, or cancel mid-term only for non-payment of premium, material misrepresentation, or license suspension, subject to the notice periods required by Ohio law. Non-renewal or cancellation does not affect coverage for a loss that occurred while the policy was in force.

8. Material Misrepresentation

An application answer is material if a truthful answer would have caused Meridian Mutual to decline the risk, charge a materially higher premium, or apply different terms. A misrepresentation discovered after a loss does not automatically void coverage for that loss — it is evaluated against this materiality standard, and the outcome (rescission, reformation of terms, or no action) is an underwriting determination separate from, and does not retroactively alter, the coverage analysis in the Claims Adjudication Guidelines for a loss otherwise properly adjudicated before the misrepresentation was discovered.

9. Household Composition Changes

A newly licensed household member, a household member's vehicle being added, or a household member no longer residing with the policyholder all require an underwriting update at the time of the change, not merely at renewal — since Part A's "Who Is An Insured" provision (Policy Wording Section 2.3) extends to resident relatives, an unreported change in household composition can create a coverage gap or an unpriced exposure that underwriting review is meant to catch promptly.

10. Vehicle Substitution and Newly Acquired Vehicles

Policy Wording Section 1's definition of "your covered auto" extends coverage to a newly acquired vehicle or a temporary substitute vehicle for a limited period without requiring immediate underwriting action, but the policyholder must report the acquisition within the period stated in that definition for coverage to continue on that vehicle beyond it. This grace period exists precisely so a policyholder is not left uninsured in the days immediately following a vehicle purchase or a breakdown requiring a substitute vehicle.